Dynamic Cables Ltd

Concall Tracker · Quarter filed: Q1 2027 (covers Apr–Jun 2026) · Latest call read: Q1 FY27 (20 Jul 2026)

What the business does (in plain English): Dynamic Cables is a Jaipur (Rajasthan) based maker of **power cables** — low-, medium- and high-voltage cables (up to 66 kV) — plus aluminium **conductors** and DC cables for solar plants. It is a **business-to-business (B2B)** supplier: it earns money selling mainly to government electricity boards (discoms), private power-distribution companies and EPC (engineering, procurement & construction) contractors who build power lines, and it exports to 42+ countries. In short, it sells the wires that carry electricity across India's grid.

1. Snapshot

Metric	Value	Plain-English read
Market cap	₹1,948 cr	Total stock-market value of the company (a small-cap).
Share price / PE	₹402 · PE 21.4	Investors pay about 21x one year's profit — a moderate valuation.
FY26 revenue	₹1,198 cr	Total sales for the year to Mar-2026, up ~17% on FY25's ₹1,025 cr.
FY26 net profit	₹84 cr	Bottom-line profit, up ~29% — profit grew faster than sales (better margins, lower interest).
Operating margin	~11%	For every ₹100 of sales, ~₹11 is operating profit — steady, slightly improving.
ROCE / ROE	26.2% / 19.9%	Return on capital / equity — healthy; the business earns good returns on the money in it.
Borrowings (Mar-26)	₹43 cr	Low debt, down from ₹119 cr in FY24 — mostly short-term working-capital loans.

Numbers from Screener.in snapshot tables. Trailing-twelve-month sales ₹1,285 cr, profit ₹91 cr.

2. Concall coverage

Eight consecutive earnings calls read chronologically — from the company's maiden call (Q2 FY25) through the latest (Q1 FY27). This spans ~2 years / 8 quarters. No prior report exists for this company in the repo, so this is a full first read.

Quarter	Call date	Read?
Q2 FY25 (maiden call)	23 Oct 2024	Yes
Q3 FY25	Feb 2025	Yes
Q4 FY25	May 2025	Yes
Q1 FY26	Jul 2025	Yes
Q2 FY26	28 Oct 2025	Yes
Q3 FY26	27 Jan 2026	Yes
Q4 FY26	12 May 2026	Yes
Q1 FY27 ★ latest	20 Jul 2026	Yes

★ Latest concall highlights — Q1 FY27 (call 20 Jul 2026)

- **Highest-ever first-quarter results.** Revenue up ~33% year-on-year; EBITDA (operating profit) up 41% to ₹38 cr; net profit up 37% to ₹25 cr. Operating margin 10.9%. Plain read: a strong start to the year — but see the volume caveat below.
- **Big announcement — entered the US market.** After ~15–18 months of licensing and tariff-related delays, the company made its *first shipment* to the US this quarter. US was ~15% of exports (roughly 2% of total sales) — small but a new long-runway market. Model is distribution-led.
- **Volume grew only 5–6%;** most of the 33% headline is aluminium price rise flowing through. Reasons: a high base (last Q1 volumes grew ~25%) and customers deferring orders after a sudden March–May spike in aluminium/PVC prices.
- **Order book ₹811 cr** (30 Jun 2026), up only ~10% year-on-year — order cycles have shortened because buyers won't lock prices at elevated levels. Dispatches are unaffected.
- **New plant on track for September 2026 commissioning;** meaningful revenue only from Q4 FY27. Tone: confident on multi-year power demand, candid about near-term order softness.

Business mix & capacity (quick facts)

- **Customer split (Q1 FY27):** Private ~71% · Government ~16% · Exports ~13%. So **domestic ~87% / exports ~13%** of revenue — exports have risen from ~7% in FY26. Roughly seven-tenths of sales go to private buyers now (vs government-heavy in the past).
- **Product split (Q1 FY27):** High-voltage cables 68% · low-voltage 30% · conductors 2% — the mix keeps shifting toward higher-value HV cables. Solar/renewable cables are ~20% of revenue.

- **Capacity utilization ~85%** — plants run fairly full, so there is limited headroom until the new plant starts. New greenfield plant: capex ~₹45 cr, asset turnover 6–7x (so it could add ~₹270–300 cr of sales capacity), ramping to 80–85% use by end-FY28.

★ 3. Earning-trigger thesis

The core driver management keeps pointing to is **India's multi-year power transmission & distribution (T&D) capex cycle** — heavy spending on the grid, renewable-energy evacuation, rural electrification and a shift to higher-voltage lines. Dynamic Cables rides this by (a) adding capacity, (b) upgrading its mix toward higher-value HV cables, (c) growing new adjacencies — solar/renewable cables, HTLS conductors, data-centre and EV cables — and (d) opening a fresh **export runway in the US**. It has compounded ~20% a year for a decade and guides to 18–20% long term.

Trigger	What management said	Evidence so far	Horizon	Strength
India T&D / distribution capex cycle	Secular, multi-year power-sector demand; healthy order book ₹811 cr.	Revenue CAGR ~20%; FY26 +17%, Q1 FY27 +33%.	Multi-year	Strong real, funded, broad-based demand.
Capacity expansion (new greenfield plant)	~₹45 cr plant adds ~₹270–300 cr capacity; live from Sep-2026.	Delayed ~15 months; now in final stages.	FY27–FY28	Moderate needed to grow, but execution slipped.
Solar / renewable cables	~20% of revenue; can grow 25–30% for 3–4 years.	Scaled from a FY25 launch to ~20% of sales.	Near–medium	Strong already a real contributor and scaling.
Margin / mix upgrade	Hold ~10.5–11% margin; exit low-margin lines.	Margin up 10%→~11%; railway signalling exited.	Ongoing	Moderate steady, but hard to push much higher in B2B.
US entry + new verticals (HTLS, data-centre, EV, E-beam)	Very large addressable markets; first US supply done.	First US shipment only; other verticals nascent.	3+ years	Unproven early-stage, optionality not yet earnings.

4. Management-consistency scorecard

Period / promise	What was promised	What actually happened	Verdict
Growth (through the period)	18–20% long-term revenue CAGR.	FY25 +33%, FY26 +17%, Q1 FY27 +33% — met or beat.	Delivered
Margins	Hold ~10–10.5%, improve where possible.	Operating margin held and edged up to ~11%.	Delivered
Financial discipline / debt	Keep working capital ~100 days; reduce debt.	Borrowings cut ₹119cr→₹43cr; credit rating upgraded; interest fell.	Delivered
Exit low-margin railway signalling	Step back from low-margin, competitive lines.	Railway signalling went from 4% (FY25) to 0% (FY26), as said.	Delivered
New plant / capacity (from Q2 FY25)	Commissioning by Q2 FY26.	Slipped ~15 months to Sep-2026; "on schedule / by end-FY26" repeated until May-2026, then delay admitted.	Missed
US market entry (from Q2 FY25)	Sales in "4–6 quarters".	Actual entry Q1 FY27 (~7 quarters); first shipment small.	Partly / late
New verticals (semiconductor, data-centre — Q2 FY25)	Named as 5-year growth engines.	Semiconductor faded from the narrative; data-centre/HTLS/EV still nascent.	Too-early

Narrative drift: The *core financial story has been steady and delivered* — growth, margins, debt reduction and the deliberate exit from low-margin products all played out as management said, quarter after quarter, with a consistently confident tone. The drift is on *project-execution timelines*: the flagship new plant slipped ~15 months while management kept calling it "on schedule / by end-FY26" until it finally owned the delay in May-2026 (blaming approval delays, AERB compliance and Iran-war freight disruption). The US entry also took roughly twice as long as first suggested, and the earliest "next growth engines" (semiconductor) quietly gave way to newer ones (data-centre, HTLS conductors, EV, E-beam). None of this broke the story — but it shows management is more reliable on the numbers than on the timelines.

5. Bottom line — two verdicts

Durable earning trigger? → YES

There is a clear, concrete and still-live driver: India's power-grid/T&D capex cycle, with an ₹811 cr order book, a decade of ~20% compounding, a rising mix of higher-value HV and solar cables (~20% of sales, growing fast), low debt and strong returns (ROCE 26%). New capacity and a fresh US export runway add upside on top. The trigger is not hypothetical — it is already showing up in the results.

Management consistent? → MAYBE

On the financials, management has been genuinely consistent — delivering its 18–20% growth guidance, holding/improving margins, cutting debt and exiting low-margin lines exactly as promised. The reason this is a **MAYBE** rather than a **YES** is repeated slippage on execution timelines: the flagship plant ran ~15 months late while being described as "on schedule" almost to the end, and the US entry arrived far later and smaller than first guided. The story never broke, but the promise-vs-delivery gap on projects is real — watch the September-2026 plant commissioning and the US reorder traction as the next tests.

Sources: Dynamic Cables Ltd earnings-call transcripts (Q2 FY25 – Q1 FY27) and financial snapshot tables, both from Screener.in. Figures are as stated by management on the calls / in Screener's tables and are rounded for readability.